

Ruby Ice Factory v. State of U.P. & 2 Others

High Court of Judicature at Allahabad · Division Bench · 3 February 2023 · Writ - C No. 54627 of 2017 · **Impugned final assessment order quashed for want of the mandatory personal hearing under Clause 8.1(b)(iii & iv) of the U.P. Electricity Supply Code, 2005; petition disposed of by remitting the matter to respondent No. 4 to afford the petitioner a personal hearing (on 22.2.2023, or a date to be notified within one week) and finalise the proceeding without delay, and on the petitioner's default in appearing the respondent is at liberty to pass a fresh order in accordance with law.**

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HEADNOTE

In a Section 126 assessment culminating in a final assessment order dated 30.8.2017, the consumer (an ice factory) challenged the order together with the recovery certificate and citation on the ground that no date or time for personal hearing had ever been notified to it. In compliance with an earlier order, the respondents' own affidavit admitted that although a notice inviting objection had been issued, the date and time for personal hearing were 'inadvertently' not notified, and counsel for the Electricity Department did not dispute that under Clause 8.1(b)(iii & iv) of the U.P. Electricity Supply Code, 2005 a personal hearing is mandatory before a final assessment order is passed. Treating the requirement as mandatory and its breach as admitted, the Division Bench quashed the impugned assessment order and disposed of the petition by remitting the matter: the petitioner was to appear for personal hearing on a fixed date (with a fallback date to be notified within one week), the respondent was to finalise the proceeding without delay, and on the petitioner's default the respondent could pass a fresh order in accordance with law. The Court did not decide the merits of the theft assessment, nor the point (framed on 24.11.2020) whether the personal presence of the assessee is required under Section 126(3).

FACTUAL SUMMARY

The petitioner, Ruby Ice Factory (through its proprietor), was proceeded against by the electricity distribution licensee (Dakshinanchal Vidyut Vitran Nigam Ltd.) in a case treated as one of theft. A provisional assessment was made and then finalised by order dated 30.8.2017 under the Section 126 assessment machinery, followed by a recovery certificate and citation. By Writ - C No. 54627 of 2017 the petitioner challenged the final assessment order dated 30.8.2017 along with the recovery certificate and citation issued in pursuance of it. Between 2017 and 2023 the matter came before successive Division Benches of the Allahabad High Court through many adjournments, with an interim order restraining coercive action in operation; at an early stage the respondents pointed to a similar matter of the same petitioner (Writ - C No. 8168 of 2017, decided 9.3.2017, also a theft case). On 24.11.2020 the Court directed the respondents to prepare on Section 126(3) of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 to find out whether the personal presence of the assessee is required. The controlling issue, crystallised on 12.1.2023, was whether the petitioner had been afforded the personal hearing required by Clause 8.1(b)(iii & iv) of the Supply Code before the final assessment order was passed. In compliance with the order of 12.1.2023, respondent Nos. 2 and 3 filed an affidavit in which (paragraph 4) they conceded that although notice inviting objection had been issued, the date and time for personal hearing had inadvertently not been notified, and expressed readiness to afford the petitioner a personal hearing. The petitioner was represented by Sri Arvind Srivastava and the Electricity Department by Sri Baleshwar Chaturvedi (Sri Mata Prasad holding his brief on 12.1.2023).

REUSABLE CONSTRUCTIONS

1. A personal hearing is mandatory under Clause 8.1(b)(iii) & (iv) of the U.P. Electricity Supply Code, 2005 before a final assessment order is passed; issuing a notice inviting objection is not enough, because the licensee must also notify the consumer of a date and time for the personal hearing. [orders of 12.1.2023 and 3.2.2023](#)
2. A final assessment order passed without the mandatory Clause 8.1(b) personal hearing is liable to be quashed and the matter remitted for the hearing to be afforded and the assessment re-finalised in accordance with law. [order of 3.2.2023](#)
3. Where the licensee's own affidavit admits that the date and time for personal hearing were not notified, non-compliance with the Clause 8.1(b) hearing requirement stands established and the assessment order cannot be sustained. [order of 3.2.2023](#)

INTERPLAY · UP-2005::8.1(b)(iii)**RATIO**

Personal hearing is mandatory before a final assessment order; failure to notify a date and time for hearing vitiates the order

QUESTION

Before a final assessment order is passed in the Section 126 assessment machinery, is the licensee bound under Clause 8.1(b)(iii) & (iv) of the U.P. Electricity Supply Code, 2005 to afford the consumer a personal hearing by notifying a date and time, and what follows where it fails to do so?

HOLDING

Yes. Under Clause 8.1(b)(iii) & (iv) it is mandatory to provide the consumer a personal hearing before a final assessment order is passed, which requires the licensee not merely to issue a notice inviting objection but to notify the consumer of a date and time for that hearing. Where, as here, the respondents' own affidavit admitted that though a notice inviting objection was issued the date and time for personal hearing were inadvertently not notified, and the department did not dispute the mandatory character of the requirement, the final assessment order is vitiated. The Division Bench accordingly quashed the impugned assessment order and remitted the matter for a personal hearing to be afforded and the proceeding finalised, reserving to the licensee the liberty to pass a fresh order in accordance with law if the consumer defaults in appearing. [orders of 12.1.2023 and 3.2.2023](#)

QUALIFIER

The mandatory character of Clause 8.1(b)(iii & iv) was not disputed by the department and the breach was admitted on affidavit; the Court expressed no view on the merits of the theft allegation or the quantum of assessment, which were left to the fresh proceeding on remand.

EVIDENCE *“It is urged that under Clause 8.1(b)(iii & iv), it is mandatory to provide personal hearing to the consumer before passing final assessment order.”* [order of 12.1.2023](#); [restated in the order of 3.2.2023](#)

EVIDENCE *“although notice was issued inviting objection, but inadvertently date and time for personal hearing was not notified”* [order of 3.2.2023](#) (affidavit of respondents 2 and 3, para 4)

EVIDENCE *“Counsel for the respondent-Electricity Department does not dispute that under Clause 8.1(b)(iii & iv), it was mandatory to provide personal hearing to the petitioner.”* [order of 3.2.2023](#)

EVIDENCE *“Accordingly, the impugned assessment order is hereby quashed and the instant petition is disposed of as follows:”* [order of 3.2.2023](#)

FLAG Source is an order-sheet spanning 17.11.2017 to 3.2.2023 with no printed page numbers and no numbered paragraphs; pins are to order dates.

PRINCIPLE TAGS

mandatory-personal-hearing-before-final-assessment Clause 8.1(b)(iii) & (iv) of the U.P. Electricity Supply Code, 2005 makes a personal hearing mandatory before a final assessment order in the Section 126 machinery; a notice merely inviting objection, without a notified date and time for hearing, does not satisfy it. [orders of 12.1.2023 and 3.2.2023](#)

assessment-order-quashed-and-remitted-for-hearing A final assessment order made in breach of the Clause 8.1(b) hearing requirement is quashed and the matter remitted for a hearing, with liberty to the licensee to pass a fresh order in accordance with law if the consumer defaults in appearing. [order of 3.2.2023](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PERSONAL PRESENCE OF THE ASSESSEE (AS DISTINCT FROM AN OPPORTUNITY OF PERSONAL HEARING) IS REQUIRED UNDER SECTION 126(3) OF THE ELECTRICITY ACT, 2003 READ WITH THE U.P. ELECTRICITY SUPPLY CODE, 2005.

Framed for consideration in the order of 24.11.2020, which directed the respondents to prepare on the point, but the petition was ultimately decided on the admitted failure to notify a personal hearing under Clause 8.1(b), so the point was not adjudicated.

[order of 24.11.2020](#)

NOT DECIDED — THE MERITS OF THE THEFT ALLEGATION AND THE QUANTUM OF THE SECTION 126 ASSESSMENT.

Left to the fresh proceeding on remand; the Court quashed the order only for want of hearing and did not examine the assessment on merits. [order of 3.2.2023](#)

SCJ-191 — Arvind Kumar v. PVVNL - a final order of assessment under Section 126 read with Clause 8.1(b) must be preceded by an opportunity of hearing; directly on the mandatory-hearing point applied here.

SCJ-2002 — Yadu Nath Parashar v. State of U.P. - same remedial shape: recovery founded on a provisional assessment set aside and the matter remitted for the Executive Engineer to hear the consumer and decide the Clause 8.1(b) representation.

SCJ-014 — Chunni Lal Gupta v. State of U.P. - Clause 8.1(b)(iii) requires service of the provisional assessment bill and an opportunity to the consumer; companion authority on the assessment-hearing procedure.

SCJ-872 — Ram Das v. State of U.P. - recovery in theft proceedings challenged for want of a Clause 8.1(b)(iii) hearing and disposed by a Division Bench; sibling on the hearing requirement.

SCJ-2196 · Ruby Ice Factory v. State of U.P. & 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.